



AI & Partners

Amsterdam - London - Singapore

2026

AI Governance

What's Next?

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By 2 February 2026, the European Commission must issue guidance on Article 6 and post-market monitoring. From 2 August 2026, the AI Act applies in full, except Article 6(1). High-risk AI systems undergoing significant design changes after this date fall under the Regulation, and Member States must have at least one operational AI regulatory sandbox.

Commission Guidelines

Deadline for Commission to provide guidelines specifying implementation of Article 6.



2 February
2026

2 August
2025



EU AI Act Full Application

The remainder of the AI Act starts to apply, except Article 6(1).

Application to Operators

This Regulation shall apply to operators of high-risk AI systems (Excluding Article 111(1)),



2 August
2025

2 August
2026



AI Regulatory Sandbox Go-Live

Member States shall ensure that their competent authorities have established => one AI regulatory sandbox

In 2026, implementation of the EU AI Act across the EU27 is expected to show a more advanced but still uneven picture. The group of Green frontrunners — *Denmark, Hungary, Ireland, Italy, Malta and Spain* — are projected to remain fully operational, with functioning enforcement frameworks and designated notifying and market surveillance authorities in place. Several Amber states — including *Belgium, Croatia, Cyprus, Czechia, Estonia, Finland, France, Germany, Greece, Lithuania, Luxembourg, Netherlands, Poland, Romania and Sweden* — are expected to make tangible progress through the enactment of draft laws, establishment of coordinating bodies, and alignment of existing regulators, though many will still be finalising institutional details during 2026. A smaller group — *Austria, Bulgaria, Latvia, Portugal, Slovakia and Slovenia* — are projected to stay in the Red category, where national legislation or authority designations remain incomplete and implementation activity continues to lag behind the EU average. Overall, the 2026 outlook points to steady convergence toward readiness, but with significant variations in institutional maturity and enforcement preparedness across the Union.



Country	Status	Description	Rationale
		No AI-specific law; AI Service Desk & advisory forums only.	Report notes no notifying/market surveillance authority and early planning only — unlikely to reach full operational enforcement in 2026 absent rapid legislative change.
		No implementing law; 26 bodies listed for cooperation; DPA guidance issued.	Multiple bodies but no single designated enforcement authority; consolidation expected but still work to do in 2026.
		Only preliminary preparations; no implementing law or authority appointments.	Report flags early planning only; low likelihood of full enforcement arrangements by 2026.
		Draft implementing law in preparation; lists of authorities published.	Drafting underway and inter-ministerial group active — plausible to reach Amber/early operational status in 2026, but full maturity uncertain.
		Article-77 authorities notified; no market-surveillance/notifying authority yet.	Has met the Article-77 requirement; likely to formalise market surveillance roles in 2026 but initially limited.
		National “AI Implementation Plan” adopted; Article-77 authorities listed.	Strong planning and capacity building but notifying/market authority not yet declared — likely Amber through 2026.
		National implementing law adopted (8 May 2025); notifying & market roles designated.	Explicit national law designating authorities and enforcement powers — assessed as a frontrunner in the report and expected to be operational in 2026.
		No separate law; Article-77 authorities notified; White Paper and strategic work.	Relies on existing structures; with active policy work it should be Amber in 2026 (integration via existing agencies).
		Draft implementing act (Oct 2024) appointing market surveillance agencies; bill under review.	On track with clear drafts and agencies identified — likely Amber moving toward operational capacity in 2026.

		Draft sectoral “Loi IA” in preparation; sector regulators (CNIL, ANSM, DGCCRF) to be used.	Sectoral model and draft bill mean active implementation but decentralised — Amber in 2026 while final laws/regulations settle.
		Draft “KI-Marktüberwachungsgesetz” published (Dec 2024) — BNetzA proposed as market surveillance.	Strong institutional groundwork and consultation, but draft stage means Amber in 2026 while enactment/ops complete.
		Article-77 authorities published; no market surveillance / notifying authority named.	Met Article-77 but broader enforcement framework still pending — Amber in 2026 with gradual build-out.
		Implementing framework enacted (Act LXXV/2025 & Decree), notifying & market surveillance authorities designated.	The report records a national law (effective Dec 1, 2025) and designated authorities — Green/operational in 2026.
		15 national competent authorities designated; National AI Implementation Committee; National AI Office planned.	Ireland announced clear designations (16 Sept 2025) and is building a National AI Office/sandbox — placed among frontrunners.
		National implementing law adopted / advanced (Senate approval, bodies designated in draft).	Italy is named among the frontrunners (designated ACN/AgID roles, implementing law activity) — expected operational in 2026.
		Only early planning and Ombudsman listed in EU consolidated list; no formal law.	Report flags limited progress and study/coordination stage — status likely still Red in 2026 without rapid change.
		Draft law before Parliament designating MITA & RRT; sandbox pilot announced.	Clear plan and draft law — likely Amber in early-to-mid 2026 and could turn Green if the draft is adopted.
		Draft law tabled (Dec 2024); CNPD and multiple notifying authorities proposed.	Concrete draft and lists of authorities make a strong case for Amber → likely Green by late 2026 if enacted, but conservatively Amber.

		National AI & Digital Innovation Act (2023) in force; MDIA & IDPC designated as market surveillance.	Already had a national AI law (2023) and agencies designated — firmly Green.
		No new law passed; coordination across agencies and published recommendations on governance.	Government updating sector laws and publishing governance recommendations — Amber in 2026 while coordination continues.
		Draft implementing acts planned; roadmap and consultations underway; Article-77 authorities notified.	Draft regulator (KNSI) and notifying accreditation proposals exist — Amber as law/process mature through 2026.
		Limited progress publicly; lists of agencies mapped but no single authority designated.	Mapping exercise done but no formal law/authority — report treats Portugal among less advanced states; likely Red or borderline Amber in 2026.
		Strategy (July 2024) announced a dedicated AI Authority to be created under ADR; lists published.	Strong signalling and plan to create an Authority — Amber in 2026 while legal establishment completes.
		No specific AI Act legislation; only 2 authorities listed in EU consolidated list.	Implementation largely informal; report marks Slovakia as behind — likely still Red in 2026.
		Planning stage; expert council expected; lists exist but no law or designated enforcing body.	Government statements but no formal publishings/designations — likely Red or very early Amber in 2026.
		AESIA (Spanish AI Supervisory Agency) established (2023) as MSA & SPOC; national draft law building on AESIA.	AESIA already designated and operational work underway — Spain is a frontrunner and expected Green in 2026.
		No special national law; existing agencies publishing position papers; 4 authorities listed.	Relies on existing agencies and stakeholder work — Amber in 2026 while formal designations/coordination are finalised.



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Who Are We

AI That You Can Trust

Why Us?

Stay on the right side of history. At AI & Partners, we believe AI should unlock potential—not cause harm. We've seen the fear and fallout when teams lose control of AI, but also the trust and innovation that follow when it's handled responsibly. That's why we exist: to help you build AI you can trust and stand behind—for the long run.

80%

of AI systems
are unknown

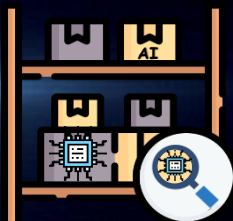
What Do We Do?

We enable safe AI usage—for your organization and your clients. Unknown AI adoption leads to confusion, risk, and reputational damage. We help you take control with tools to identify, monitor, and govern all AI systems—so you're not reacting to AI, you're leading it.

How Do We Do It?

Do you know what AI systems you have? Identify all known and unknown AI systems (algorithms, LLMs, prompts, and models) from all internal and external AI vendors, automated by generating your inventory. Overall, 80% of AI inventory is unknown to our clients.

How do you guarantee ongoing safe AI use? Continuously monitor deployed AI systems for performance drift, anomalies or failures, real-world impacts, and emerging risks (e.g. data poisoning). Any malfunction of an AI system has severe implications for organisations (e.g. inability to assess online misinformation that leads to widespread public mistrust), so monitoring becomes a matter of urgency.



AI Discovery & AI Inventory

Automatically detect all AI systems, including models, algorithms, and prompts, and maintain a live, always-updated register for full visibility and compliance.



Responsible AI

Embed fairness, transparency, and control into every stage of AI use—aligning with the EU AI Act and building 'Trustworthy-by-Design'.



Model Monitoring

Continuously track your AI models after deployment to detect drift, bias, or failure—so you stay in control and prevent harm before it happens.

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Executive Summary





The 2026 landscape of AI governance presents a world in which businesses must navigate a rapidly fragmenting regulatory map.

Where once data and technology rules felt predictable, AI policy has become a central fault line: jurisdictions are adopting divergent approaches to oversight, enforcement is intensifying, and policy objectives increasingly compete across borders. This fragmentation is driven in large part by the rise of AI-specific regimes that reach beyond traditional data law to regulate development, deployment and downstream uses of intelligent systems.

At the centre of this shift sits the EU AI Act — the EU's landmark, comprehensive framework for AI oversight — which has set a regional benchmark and accelerated regulatory activity worldwide. The Act's risk-based architecture, obligations for providers and deployers, transparency and conformity requirements, and its

prohibition of certain hazardous practices have raised the bar for what regulators expect from governance, documentation, testing and accountability. As other jurisdictions craft their own rules, the EU model is both a template and a pressure point: it encourages higher compliance standards while also contributing to a multi-polar patchwork that complicates global operations.

For businesses, these changes have practical consequences across the enterprise. Traditional compliance playbooks built around patchwork data rules are no longer adequate — AI governance requires cross-functional processes that combine legal, risk, engineering, product and ethics teams.

Key implications include:

- **Elevated compliance complexity:** Organisations must map AI systems across their product lifecycle, align risk classifications with regulatory tests, and demonstrate technical and organisational measures to meet conformity and transparency obligations.

- **Strategic friction in markets and transfers:** Divergent rules on permitted uses, data and model transferability, and national enforcement priorities can constrain scaling and force regionally differentiated product designs.
- **Increased enforcement and reputational risk:** Stronger supervisory powers and public-facing obligations mean failures in governance can trigger fines, product bans, or sustained brand harm.
- **Governance as opportunity:** Robust, auditable AI governance can become a market differentiator — enabling safer innovation, faster approvals in stringent jurisdictions, and stronger customer trust.



In 2026, AI governance will become one of the defining strategic battlegrounds for global industry. The EU AI Act has raised the bar worldwide, forcing organisations to rethink how they build, deploy and oversee intelligent systems. Future success now hinges on navigating this multi-polar regulatory landscape with precision and foresight.

Sean Musch, CEO/Founder, AI & Partners



In short, AI law in 2026 is reshaping how organisations think about risk and growth. The EU AI Act has crystallised new global expectations for safety, transparency and accountability; at the same time, the increasingly multi-polar regulatory environment means that staying compliant is now also strategic. Companies that treat AI governance as an ongoing, cross-disciplinary capability — not a one-off compliance checklist — will be better positioned to manage risk and seize the competitive advantages that flow from trustworthy AI.

The global surge in AI governance efforts



In Brief



Navigating the fast-evolving landscape of AI regulation has never been more critical. Across major jurisdictions — including the EU, UK, US and key Asia-Pacific markets — the rules shaping how AI systems are developed, deployed and monitored are advancing at unprecedented speed. What were once broad principles are now becoming detailed, enforceable requirements, driven by comprehensive legislation, heightened regulatory scrutiny and rapidly maturing governance expectations.

Businesses face intensified risk on multiple fronts: strict conformity assessments, transparency obligations, use-case prohibitions, and expansive documentation requirements that can disrupt product pipelines and operational models. Understanding these shifting trends is essential for proactive governance, responsible innovation and mitigating regulatory exposure.

The global picture

Few areas of technology regulation have expanded with the speed, scope and geopolitical weight of AI governance. Once the domain of voluntary frameworks and ethical guidelines, AI oversight has now transformed into a high-stakes compliance regime. It is reshaping how organisations design systems, train models, manage data, and evaluate downstream impacts — with significant implications for competitiveness and market access.

This acceleration is driven by a convergence of factors, including:

- **The EU AI Act establishing the world's most comprehensive AI regulatory regime**, setting global expectations for risk-based obligations, prohibited practices, transparency standards, and accountability frameworks.
- **A wave of national and sector-specific AI rules**, from Canada's AIDA to China's algorithmic and

generative AI provisions, and emerging regimes across the Gulf and Southeast Asia.

- **Sharp increases in supervisory activity**, as regulators build AI expertise, launch task forces and initiate investigations into high-risk systems.
- **Growing public concern and scrutiny**, particularly around bias, explainability, child protection, workplace monitoring and the use of personal data in training sets.
- **New compliance mechanisms**, including mandatory risk assessments, independent audits, model evaluations and enhanced documentation across the AI lifecycle.

This chapter focuses on four influential jurisdictions shaping global governance standards: **the EU, the UK, the US and China.**

European Union: The global benchmark for AI governance

The EU AI Act marks a new era for technology oversight, introducing the world's first comprehensive, cross-sectoral AI regulatory framework. Obligations for providers and users of high-risk AI systems — including strict conformity assessments, post-market monitoring, incident reporting and extensive technical documentation — require organisations to redesign governance structures from the ground up.

Enforcement is set to intensify as EU institutions coordinate audits and market surveillance, while national regulators prepare for system-level inspections. Clarifications from the European Commission on prohibited practices, general-purpose AI (GPAI) requirements and harmonised standards will shape how organisations operationalise compliance in 2026 and beyond.

Practical implications: Businesses must be prepared for simultaneous compliance pressures: meeting high-risk requirements, adapting to evolving GPAI rules, and navigating enforcement differences across Member States. Early readiness and robust AI governance functions are key to minimising operational and regulatory risk.

United Kingdom: Agile regulation with growing enforcement expectations

The UK continues to pursue its principles-based, sector-led approach to AI oversight — but the landscape is tightening. Regulators such as the ICO, CMA and FCA have expanded expectations on fairness, transparency, model explainability and accountability, while issuing joint guidance for AI deployers.

Although the UK has not replicated the EU AI Act, it is steadily embedding comparable standards through enforcement, sector regulation and risk-based guidance. At the same time, the government is exploring targeted statutory measures for high-risk applications, such as biometric systems and critical-infrastructure deployment.

Practical implications: Businesses should expect more guidance, inspections and cross-regulatory coordination. Despite the UK's lighter legislative footprint, governance expectations are rising quickly — and misalignment with EU or US standards can create operational friction.

United States: Sector-driven rules and expanding liability

The US is entering a period of rapid AI regulatory expansion, driven by executive orders, agency rulemaking and state-level initiatives. Federal regulators — including the FTC, FDA, SEC and CFPB — are asserting

aggressive oversight under existing laws, while states such as California, Colorado and Connecticut are developing their own AI-specific statutes.

Enforcement is widening to include algorithmic discrimination, deceptive AI practices, misuse in financial services, opaque workplace systems and failures to disclose model limitations or safety risks. Litigation risk is also increasing,

China: Rapid implementation and high operational burdens

China has built one of the most detailed and fast-moving AI regulatory frameworks globally, covering recommendation algorithms, generative AI, deepfakes and data governance. The country's rules prioritise security, content integrity, explainability and state oversight. Providers must conduct security assessments, register certain models, and ensure content aligns with stringent

with early cases testing liability for harms linked to automated decisions or generative AI outputs.

Practical implications: The patchwork of federal and state requirements can create significant uncertainty. Businesses must track overlapping mandates and prepare for investigations triggered by lack of transparency, insufficient testing or misleading claims about AI capabilities.

Regulators are increasingly inspecting algorithmic systems and requiring real-time governance measures, while revisions to the AI regulatory regime are expected to expand obligations further.

Practical implications: China's operational requirements are among the most demanding. Companies must adapt product architecture, content moderation processes and engineering workflows to comply — often requiring region-specific AI deployments.

Looking Ahead

Global AI governance is becoming more assertive, more complex and more consequential. Businesses can no longer rely on reactive measures; proactive, cross-border compliance strategies are essential.

- In the EU, the implementation of the AI Act will redefine global expectations.
- In the UK, regulators are embedding de facto standards through enforcement.
- In the US, agency action and state laws are reshaping liability and transparency obligations.
- In China, rapid rollout of AI rules is creating intensive operational demands.

Organisations must monitor these developments closely, build resilient governance frameworks and adopt adaptable, lifecycle-based compliance strategies to manage risk and unlock the opportunities of trustworthy AI.



An increasingly fractured global rulebook for AI



In Brief



The global rulebook for AI is splintering. The EU's enforcement-driven, risk-based model — crystallised in the AI Act — sits in sharp contrast with the United States' recent pivot toward an "innovation-first" approach. The UK is positioning itself as a pragmatic third pillar, selectively aligning with Europe while favouring agile, pro-growth supervision. Across APAC, countries are pursuing a mix of hard law and lighter-touch frameworks tailored to local priorities. The result is a patchwork of overlapping and sometimes conflicting rules on AI safety, data flows, cybersecurity and consumer protection. For businesses the consequence is clear: navigating these cross-currents is now central to managing regulatory risk and capturing opportunities in the digital economy.

United States: an innovation-first reset (and persistent regulatory crosscurrents)

Since January 2025 the federal approach to AI has shifted decisively toward growth and deregulation, backed by a policy drive to clear regulatory barriers and boost domestic AI investment. The administration's early actions — including a high-profile private-sector AI infrastructure initiative

, and agencies including the FTC, SEC and sectoral regulators remain active on deceptive practices, disclosure and algorithmic harms. Litigation and congressional activity focused on AI-washing, deepfakes and discriminatory automated decisions also continue to shape corporate risk.

Practical implications: Companies operating in or serving US customers should treat the national policy tilt as an opportunity to innovate — but must still prepare for state-level rules, agency enforcement and private litigation that can impose substantial compliance and disclosure burdens.

and a wave of executive orders — signal a preference for rapid commercialisation over new federal safety mandates.

That said, the US regulatory picture is not uniform. Several states and federal agencies continue to press on safety, transparency and consumer-protection fronts: state laws such as California's AI transparency measures impose overlapping obligations

Free speech, bias and agency priorities

The federal emphasis on "ideological neutrality" in AI procurement and policy has re-shaped public debate about AI and content moderation. Parallel enforcement activity by agencies and Congress — targeting deceptive AI marketing, unlawful deepfakes and unfair automated decision-making — shows that scrutiny remains high even where broad deregulation is pursued. Firms therefore face a dual constraint: more permissive market rules on one hand, and intense, targeted enforcement on specific risks on the other.



Practical implications: Tech companies must ensure marketing and product claims about AI are defensible, maintain robust content-safety and provenance controls, and remain vigilant to agency investigations and evolving disclosure expectations.

Continuity in cyber and child-safety enforcement

Despite a federal deregulatory shift on some AI topics, continuity persists in areas such as cybersecurity and child protection. Certain federal initiatives on secure data handling and protections against foreign-adversary access to sensitive data remain in force, as do newly effective regulations aimed at protecting children online. This continuity means businesses cannot rely on a single political change to remove operational or compliance obligations.

Practical implications: Embed cyber resilience and child-safety controls into AI programmes from the outset; these remain enforcement priorities regardless of broader deregulatory trends.

United Kingdom: a pragmatic “third pillar”

The UK is deliberately carving out a distinct position — neither fully replicating the EU’s prescriptive model nor embracing unfettered deregulation. Instead, the government is pursuing a hybrid strategy: selective alignment with EU rules where necessary for legal

certainty and cross-border flows, alongside flexible, regulator-led supervision designed to support innovation. Recent measures on online safety and targeted data-access reforms underline this balancing act.

Practical implications: Expect a dual landscape: prescriptive obligations in areas like child safety and platform accountability, and lighter-touch, supervisory expectations for many AI applications. Firms should build governance that satisfies EU-style scrutiny yet remains flexible for UK markets.

European Union: enforcement-first and implementation-focused

The EU AI Act has become the focal point of global AI governance. Its risk-based requirements — conformity assessment, transparency, prohibited practices and post-market monitoring — are driving deep organisational change. With the European AI Office coordinating implementation and Member States designating competent authorities, enforcement activity and harmonised standards will increasingly define what “compliant” AI looks like in practice. At the same time, the EU is working to streamline and harmonise its broader digital rulebook to reduce administrative burdens and improve technical guidance — but the emphasis remains on strong, enforceable safeguards.

Practical implications: The AI Act is a de facto global benchmark. Firms that want broad market access must invest in robust lifecycle governance, documentation and compliance processes aligned to EU expectations.

APAC: plurality, pragmatism and local priorities

Asia Pacific presents a diverse regulatory mosaic. Some jurisdictions (China, South Korea, Vietnam) are deploying fairly prescriptive rules that echo elements of the EU model, particularly around content control and high-risk uses. Others (Singapore, Hong Kong) prefer principles-based guidance and collaborative testing ecosystems to promote adoption. The net effect is region-specific requirements on model labelling, recommendation systems, data residency and cross-border data movement.

Practical implications: APAC demands regionally tailored strategies. Companies should identify jurisdictions

where prescriptive controls apply and design engineering and legal controls to meet those local obligations while preserving scalable product architectures.

EU enforcement, geopolitics and transatlantic friction

The EU's robust enforcement posture has geopolitical consequences. Tighter oversight of large foreign tech platforms, coupled with high-profile penalties, has at times prompted diplomatic and trade tensions. Businesses operating across the Atlantic must therefore factor in how regulatory action can intersect with broader geopolitical dynamics and create operational friction or market access risk.

Practical implications: Treat compliance as both a legal and geopolitical risk: monitor enforcement trends and be prepared for scenarios where regulatory actions have diplomatic or commercial knock-on effect

Looking Ahead

Global AI rules are fragmenting in ways that will persist. Firms need proactive, cross-jurisdictional strategies that combine technical, legal and policy capabilities. Key actions:

1. **Map divergence:** Maintain an active regulatory horizon-scan across the EU AI Act, key US federal/state measures, UK guidance and APAC requirements.
2. **Build lifecycle governance:** Invest in technical and organisational controls that support conformity assessments, transparency, monitoring and incident response.
3. **Design for regionalisation:** Architect products so core safety and compliance controls can be applied regionally without full re-engineering.
4. **Factor geopolitics into risk models:** Assess how enforcement and trade dynamics could affect service continuity and market access.

The global AI rulebook is no longer a single code to comply with — it is a fractured ecosystem of overlapping obligations and competing priorities.



Why firms must prioritise AI governance



In Brief



AI governance is no longer optional — it is a strategic imperative. As AI systems permeate critical business functions, regulatory oversight, market expectations, and public scrutiny are converging to make robust governance essential. Firms face operational, legal, financial, and reputational risks if AI systems are deployed without structured oversight. Beyond risk mitigation, strong AI governance unlocks competitive advantage: it fosters trust with regulators, customers, and partners, enables faster adoption of new technologies, and supports scalable innovation in complex, multi-jurisdictional markets.

Risk management: mitigating legal, regulatory and operational exposure

Poorly governed AI systems can create cascading risks. Non-compliance with the EU AI Act, UK Online Safety Act, US federal and state rules, or APAC regulations can result in fines, injunctions, or restrictions on AI deployment. Mismanaged models can amplify bias, propagate errors, or generate outputs that harm users — all of which invite reputational damage, litigation, or regulatory enforcement.

Practical implications: Firms must implement end-to-end governance frameworks covering model design, testing, deployment, monitoring, and incident response. This ensures that AI risk is understood, measurable, and managed consistently across jurisdictions.

Building trust and market credibility

Regulators and consumers are increasingly demanding transparency, accountability, and demonstrable safety in AI.

Companies that can show robust governance, ethical practices, and compliance with high-risk AI requirements are more likely to gain regulatory approvals, customer confidence, and investor support. Conversely, failures in transparency, bias mitigation, or safety can undermine brand trust and reduce market access.

Practical implications: Governance frameworks should include mechanisms for documentation, explainability, stakeholder reporting, and independent auditing to establish credibility and support external validation.

Enabling responsible innovation

AI governance is a catalyst for growth, not just a compliance exercise. Firms that integrate governance early in the product lifecycle can accelerate innovation while reducing costly rework or enforcement risks. A structured approach allows experimentation with confidence, ensuring that high-risk AI systems are assessed before deployment and that mitigation strategies are embedded from design through operation.

Practical implications: Embed governance in R&D and deployment pipelines, with cross-functional oversight spanning legal, technical, product, and ethics teams. This approach reduces time-to-market for compliant AI products and services.

Navigating multi-jurisdictional complexity

The global AI regulatory landscape is fractured. The EU's prescriptive AI Act, the UK's hybrid framework, US state-level rules, and diverse APAC approaches create overlapping and sometimes conflicting obligations. Firms that do not prioritise AI governance risk non-compliance across multiple markets, with operational disruptions, regulatory fines, and potential barriers to cross-border deployment.

Practical implications: Develop harmonised internal standards for AI

governance that can be adapted regionally. This ensures compliance with local regulations while preserving global scalability and operational efficiency.

Competitive advantage through governance

Beyond compliance, strong AI governance offers a market differentiator. Companies that can demonstrate trustworthy, safe, and ethical AI gain reputational leverage, attract partnerships, and often accelerate regulatory approvals. Investors and customers increasingly view governance maturity as a proxy for long-term resilience and value creation.

Practical implications: Leverage AI governance frameworks as a strategic asset, showcasing adherence to international standards, and risk management protocols to enhance market positioning.

Looking Ahead

AI governance will continue to evolve alongside technology and regulation. Firms must treat governance as a dynamic, enterprise-wide capability rather than a one-off project. Proactive, structured governance reduces risk, accelerates innovation, and creates trust. Key actions:

1. **Establish enterprise-wide frameworks:** Align legal, technical, product, and ethics teams around governance objectives.
2. **Integrate governance into product lifecycles:** From design to decommissioning, embed risk assessment, testing, and monitoring.
3. **Maintain regulatory intelligence:** Continuously track developments across the EU, US, UK, and APAC to ensure ongoing compliance.
4. **Use governance as a differentiator:** Position ethical, safe, and compliant AI as a core competitive advantage.

AI governance is no longer a back-office function — it is a strategic enabler. Firms that prioritise governance today will be best positioned to manage risk, drive innovation, and capture market opportunities in the rapidly evolving AI landscape.



Risking risks and shifting rules for AI adoption



In Brief



Are we witnessing a fundamental restructuring of cross-border AI flows? The international movement of training data, model weights and inference access is now governed by a web of divergent rules: some jurisdictions push interoperability and safe-sharing frameworks, while others tighten controls over where models, datasets and compute can operate. The EU's AI governance and GPAI guidance are raising expectations for how providers document model provenance and manage transfers, even as implementation choices and enforcement priorities vary across Member States. The UK's post-DUAA approach introduces a comparative, risk-based posture for overseas model access. The US combines export-control and national-security tools aimed at preventing adversarial access to sensitive datasets and models. China's Free Trade Zone pilots offer clearer pathways for certain exports, but broader enforcement is increasing. The net result: companies must now treat cross-border AI flows as a compliance, operational and strategic challenge.

EU: stability in standards — but higher scrutiny for model flows

The EU is fast becoming the reference point for how cross-border AI activity should be governed. The EU AI Act, and the Commission's emerging guidance on General-Purpose AI (GPAI) models, emphasise lifecycle obligations, transparency on training sources and obligations for post-market monitoring — all of which affect how models and related data may be moved, shared or licensed across borders. At the same time, Member State authorities are signalling a stricter posture where transfers or foreign hosting create plausible risks to fundamental rights or public policy, prompting heightened scrutiny of transfers involving third countries without equivalent safeguards. The Commission's recent code-of-practice and implementation outreach aim to give providers practical tools — but questions about scope, timing and enforcement persist as the rules move from statute to operation.

Practical implications: Treat EU requirements as the de facto compliance baseline for model governance. Document training data provenance, record model-testing and monitoring artefacts, and maintain transfer-impact-style assessments for any cross-border model access or dataset sharing.

UK: a comparative, risk-based posture for model access

Post-DUAA, the UK is signalling a move from binary accept/reject transfer rules toward a risk-comparative test that will shape how businesses manage overseas model hosting, joint development projects and inference-as-a-service arrangements. The new regime emphasises whether protections in the destination are “not materially lower” than UK standards — meaning organisations will need to perform comparative risk assessments before relying on contractual or operational safeguards for cross-border AI activities. This creates flexibility, but also increases the obligation to monitor foreign



regimes continuously and to be ready to adapt model deployments as the UK's assessments evolve.

Practical implications: Expect to run country-level and provider-level protection assessments as part of model governance; design contracts and technical controls (e.g., encryption, split-learning, regional inference endpoints) that can be evidenced to regulators.

United States: national security, export controls and targeted restrictions

US policy on cross-border AI flows is shaped increasingly by national-security and export-control tools. Recent rules and programmes aim to prevent sensitive personal data, critical datasets and advanced model capabilities from being accessed by designated “countries of concern,” and existing export controls on advanced AI compute and chips have been extended to cover certain model-related technologies. This creates transactional friction for cross-border licensing, research collaboration and multi-national model hosting — particularly for sectors handling genomic, biometric, health or geolocation data. Enforcement is likely to prioritise data brokers, cloud vendors and complex vendor chains that enable large-scale transfers or remote model training.

Practical implications: Map the provenance and residency of datasets and models; introduce transaction-level

review for cross-border model training, inference outsourcing or third-party model imports; and be prepared for rapid classification changes that affect commercial arrangements.

China: FTZ pilots provide pathways — but national enforcement is rising

China's pilot Free Trade Zone (FTZ) ‘negative list’ and related guidance aim to create clearer, sector-specific channels for exporting certain datasets and model-related outputs, particularly in defined industries such as life sciences and advanced manufacturing. Within FTZs, volume thresholds and sector carve-outs can make lawful exports practicable for some use cases. Outside these pilots, however, national rules and security assessments remain significant — and enforcement actions for unlawful transfers are becoming more visible. The result is a two-tier reality: FTZs may offer workable routes for some AI collaborations, while mainland transfers continue to demand careful legal and technical controls.

Practical implications: Leverage FTZ mechanisms where available for sanctioned exports of training datasets or model outputs, but maintain conservative controls and audit trails for any transfers originating in or involving mainland infrastructure.

Continuing developments across APAC

Across Asia Pacific, approaches to cross-border AI flows vary widely. Some jurisdictions are adopting EU-style risk concepts for “high-risk” AI uses; others favour principles-based regimes, guidance and testing sandboxes that facilitate safe exchange. Several countries are introducing explicit rules on model labelling, synthetic-content disclosure and restrictions on remote inference for sensitive services. The practical effect is a patchwork of

requirements for model provenance, residency and permitted uses that multinational providers must map carefully.

Practical implications: Maintain a jurisdictional matrix of transfer rules, model-access limits and labelling obligations across APAC; adopt engineering patterns (regional inference endpoints, federated learning, homomorphic encryption) that reduce the need for full data relocation.

Looking Ahead

AI governance will continue to evolve alongside technology and regulation. Firms must treat governance as a dynamic, enterprise-wide capability rather than a one-off project. Proactive, structured governance reduces risk, accelerates innovation, and creates trust. Key actions:

5. **Establish enterprise-wide frameworks:** Align legal, technical, product, and ethics teams around governance objectives.
6. **Integrate governance into product lifecycles:** From design to decommissioning, embed risk assessment, testing, and monitoring.
7. **Maintain regulatory intelligence:** Continuously track developments across the EU, US, UK, and APAC to ensure ongoing compliance.
8. **Use governance as a differentiator:** Position ethical, safe, and compliant AI as a core competitive advantage.

AI governance is no longer a back-office function — it is a strategic enabler. Firms that prioritise governance today will be best positioned to manage risk, drive innovation, and capture market opportunities in the rapidly evolving AI landscape.



AI Governance now a board-level imperative



In Brief



AI has moved from a technical topic to a boardroom priority for public and private companies alike. The technology's strategic upside is matched by systemic legal, operational and reputational risks that demand active, visible oversight. Boards must be able to explain how their organisations govern AI — not only to satisfy regulators and investors, but to protect licence to operate and preserve long-term value. Good governance now separates companies that can scale AI responsibly from those that will be tripped up by compliance failures, enforcement actions or loss of trust.

AI is reshaping business operations and strategy

AI is not merely an IT project; it is embedded across products, customer interactions, talent decisions and core operations. From large language models used in customer service to automated decision engines in credit, hiring or supply chains, AI changes business models as much as it changes processes. That shift converts what were once engineering trade-offs into strategic questions — about where to compete, which risks to accept, and how to resource new capabilities. Boards must therefore treat AI as a multiplier of both opportunity and systemic risk, requiring strategic oversight, not ad-hoc technical review.

Practical implication: Boards should demand concise but substantive reporting on where AI is used, its intended benefits, how success is measured, and what mitigations exist for foreseeable harms.

From risk disclosure to the company's growth story

Investor and regulatory expectations are evolving: AI must feature in risk disclosures and in narrative accounts of strategy and value creation. Stakeholders want transparency on material AI uses, governance arrangements, and the controls in place to manage privacy, safety, bias and cyber risk. At the same time, companies that can credibly demonstrate robust governance and measurable benefits will be better positioned to attract capital, partners and customers. Disclosure is therefore both a defensive necessity and an opportunity to tell a credible growth story grounded in responsible use.

Practical implication: Integrate AI risk and value metrics into financial and strategic reporting so investors see how governance supports sustainable growth.

Investor scrutiny and shareholder pressure

Shareholders, proxy advisers and activist groups increasingly demand clarity on AI oversight, ethics and board competence. Questions range from how models are tested to how harms are remediated and whether executive incentives encourage safe deployment. Proxy proposals and engagement campaigns now routinely target companies across sectors, signalling that investor patience for vague or boilerplate AI statements is waning.

Practical implication: Boards should prepare for heightened investor engagement by developing clear governance narratives, disclosure playbooks and evidence-backed statements about controls and outcomes.

AI-washing: accuracy of claims is an enforcement risk

Overstating AI capabilities or labelling routine automation as “AI” is drawing regulatory attention. Consumer protection agencies, securities regulators and advertising authorities are sharpening scrutiny of public and investor-facing claims. Misleading statements can trigger enforcement, fines and corrective disclosures — and damage trust more broadly.

Practical implication: Establish cross-functional clearance processes for external AI claims (marketing, investor

materials, product specs) and retain documentary evidence to support any public assertions.

Oversight moves into the boardroom spotlight

Regulators and standard-setters across jurisdictions expect boards to show that they understand AI risks and have effective oversight mechanisms. That expectation is appearing in corporate reporting guidance, proxy adviser policies and governance codes. Yet many boards have not formalised responsibility: approaches range from full-board oversight, to delegation to audit, risk or technology committees, to the creation of dedicated AI committees. Whichever model is chosen, boards must ensure they have access to reliable, timely information and the independent expertise needed to challenge management.

Practical implication: Define clear governance ownership for AI, ensure committee mandates reflect the materiality of AI risk, and invest in board-level upskilling or expert advisers so directors can meaningfully discharge oversight duties.

Three pillars of board-level AI governance

Boards that take AI seriously are organising oversight around three interlocking priorities:

1. **Strategic alignment:** Ensure AI initiatives are consistent with

corporate strategy and risk appetite. Boards should review use-case prioritisation, return expectations and escalation triggers for high-risk projects.

2. **Control and assurance:** Require lifecycle controls (design, testing, deployment, monitoring, incident response) and independent assurance — through internal audit, external audits, or third-party testing — to validate that controls work in practice.

3. **Transparency and accountability:** Insist on clear disclosure policies, escalation pathways, and responsibilities across management, compliance, and the board. This includes people and resourcing plans to maintain ongoing competence.

Practical implication: Use these pillars to structure board reporting, meeting agendas and scorecards so oversight is systematic and evidence-based.

Looking Ahead

As AI becomes integral to business models, boards must act decisively to embed governance into the organisation's fabric.

Recommended steps:

- **Clarify ownership:** Decide whether the full board, a standing committee, or a dedicated AI committee will hold oversight — and define its mandate.
- **Require concise, metrics-based reporting:** Ask for dashboards that distil material AI activity, risk indicators, incidents, and remediation outcomes.
- **Mandate independent assurance:** Commission periodic audits or red-team exercises on high-risk systems.
- **Strengthen pre-publication review:** Create formal sign-off processes for marketing, investor and regulatory disclosures about AI.
- **Invest in capability:** Fund director education and, where needed, recruit members or advisers with AI, cybersecurity and regulatory experience.

AI governance is now a core board responsibility. Boards that move from passive awareness to structured, expert-led oversight will better protect enterprise value, satisfy stakeholders and enable responsible innovation.



Regulatory convergence grows across the globe



In Brief



Regulatory frontiers are colliding. Privacy, competition, consumer protection, cybersecurity and financial supervision are no longer separate silos — regulators are coordinating across domains and borders to address the same digital behaviours and design choices. From platform algorithms to open finance APIs and AI systems, a single product change can now trigger simultaneous scrutiny from multiple authorities. Companies that treat regulation as an interconnected system — not a checklist of isolated obligations — will be better placed to manage enforcement risk and satisfy stakeholders in 2026.

Platforms: market power, safety and privacy under joint scrutiny

Across jurisdictions, platform design is the common denominator that attracts convergent enforcement. Competition authorities are examining business models and data practices that entrench gatekeeper power, while privacy and consumer regulators scrutinise how those same practices collect, combine and monetise personal data. Meanwhile, safety and content regulators are demanding proactive moderation and transparency in recommender systems.

- **Europe:** The DMA and DSA illustrate how competition and safety tools are being used together: gatekeeper obligations intersect with rules on data combination and algorithmic transparency, forcing multi-agency supervision from day one. National data protection and consumer authorities are coordinating more frequently, ensuring that platform changes are examined through multiple legal lenses.

- **United Kingdom:** The UK's digital reforms create a similar multi-regulator ecosystem. Competition, communications and data regulators are working through joint fora and guidance, so platform product decisions must be tested for competitive effects, child-safety impacts and privacy implications in parallel.
- **United States:** Absent a single omnibus law, agencies and states nonetheless converge in practice. The FTC, DOJ, state attorneys general and state privacy regulators commonly pursue overlapping theories — from deceptive practices to anticompetitive conduct — based on the same algorithmic behaviour and data use.

Takeaway: Platform operators must expect coordinated scrutiny. Changes to ranking, consent flows, data portability or interface design should be stress-tested for privacy, competition,

consumer and safety exposure before they go live. *“The same product tweak can now invite multiple regulator inquiries.”* — *Christoph Werkmeister, Partner*

Finance: open-data, operational resilience and shared oversight

Financial regulators, cybersecurity authorities and privacy agencies increasingly read from the same playbook. Open finance and data-sharing initiatives accelerate innovation, but they also place the same customer data and third-party providers squarely in the crosshairs of multiple supervisors.

- **Europe:** Rules on operational resilience and third-party risk (eg, under digital operational resilience frameworks) overlap with open-banking mandates and GDPR obligations, making cloud and fintech suppliers subject to integrated scrutiny from prudential, cyber and privacy regulators.
- **United Kingdom:** Regulators are coordinating sandboxes and joint guidance so firms can test new services without facing redundant barriers — but supervisory expectations for shared incident reporting and third-party oversight are tightening.
- **United States:** Proposed and existing open-banking

frameworks, banking supervisory guidance and consumer-protection regimes combine to create multi-agency responses to breaches, algorithmic lending decisions and third-party risk.

Takeaway: Financial firms must design controls and contracts that simultaneously satisfy prudential, cyber and privacy standards — and prepare for coordinated investigations that span multiple supervisory bodies. *“Open finance means open scrutiny — from data to conduct to cyber.”* — *Rachael Annear, Partner*

AI: horizontal rules, sectoral overlap and joint enforcement

AI regulation is explicitly horizontal, but enforcement is increasingly cross-sectoral. Horizontal AI rules set baseline expectations, while sectoral regulators apply those expectations through their industry lenses — producing overlapping oversight on the same system.

- **Europe:** The AI Act creates baseline duties for high-risk systems, but national sectoral authorities (finance, health, telecoms) retain enforcement responsibilities for applications in their domains. The European AI Office’s coordination efforts aim to align action across Member States and to reduce duplicative sanctions where

GDPR, consumer law or other acts intersect with AI rules.

- **United Kingdom:** Instead of a single AI statute, principles are being woven into sectoral regimes; regulators coordinate guidance and enforcement through cross-regulatory bodies.
- **United States:** Multiple agencies (consumer, employment, financial and competition authorities) are already enforcing aspects of AI use under existing statutes, and inter-agency cooperation is strengthening.

Takeaway: Deploying AI without an integrated governance framework invites parallel probes into data provenance, fairness, sectoral safety and consumer deception. Governance teams must map which regulator leads on each risk while assuming information exchange among agencies. *“Deploying AI without holistic oversight creates legal exposure across many fronts.” — Beth George, Partner*

Five ways to prepare for convergent enforcement in 2026

1. **Create a single evidentiary dossier:** Build shared risk

assessments, impact analyses and audit trails that address privacy, competition, consumer and sectoral questions together.

2. **Stand up cross-disciplinary teams:** Legal, product, data science, compliance and public policy should brief regulators jointly and coordinate responses.
3. **Use global heat maps:** Track how one design choice triggers different frameworks across the EU, UK, US and APAC; align internal standards to the highest practicable bar.
4. **Plan for coordinated remedies:** Anticipate simultaneous obligations and design playbooks to negotiate timing, disclosure and remediation across multiple supervisors.
5. **Protect organisational trust holistically:** Treat privacy breaches, biased outcomes and unfair commercial practices as interconnected credibility risks — a failure in one domain can erode trust in all. *“Regulatory silos invite operational risk; integrated approaches reduce it.”*

Looking Ahead

Regulatory domains are converging into a network of overlapping expectations. The seams between privacy, competition, safety, cyber and financial supervision are now the primary sites of regulatory activism. Organisations that map these overlaps, build integrated compliance dossiers, and engage regulators with coherent, cross-disciplinary narratives will be more resilient, more credible and better positioned to turn regulatory complexity into competitive advantage.



Fragmented global landscape for AI



In Brief



AI regulation is no longer a single, harmonized framework; instead, it is a fragmented and rapidly evolving global patchwork. As companies increasingly deploy AI across products, services and internal operations, they face overlapping and sometimes conflicting rules on transparency, risk management, safety, and accountability. Courts and regulators are challenging outdated or superficial compliance approaches, making it clear that partial measures are insufficient. For boards and management teams, robust, context-aware governance is now a baseline expectation rather than a technical detail.

Divergent global AI standards

Global AI standards remain inconsistent, creating legal, operational and reputational risk for multinationals. Differences in enforcement, risk assessment, and scope across jurisdictions complicate cross-border deployment of AI systems. The trend is toward more granular, context-sensitive evaluation of AI risk, particularly for high-risk systems, and organizations must adapt accordingly.

- **Europe:** The EU AI Act sets a horizontal, risk-based framework but leaves sectoral and national regulators responsible for enforcement in areas such as healthcare, finance, and critical infrastructure. Courts and regulators are increasingly scrutinizing whether AI models meet obligations for transparency, explainability, and bias mitigation, with high-profile investigations signaling that

superficial compliance will not suffice.

- **United Kingdom:** UK regulators embed AI principles — safety, transparency, fairness, accountability, and contestability — into existing laws. Sectoral authorities interpret these principles in context, often coordinating through the Digital Regulation Cooperation Forum to provide guidance and enforcement alignment. The approach emphasizes both board-level oversight and continuous assessment of risk.
- **United States:** AI governance remains largely sectoral, with the FTC, EEOC, CFPB, and state authorities enforcing against unfair or biased practices. Agencies coordinate informally and increasingly through memoranda of understanding, but without a single federal statute, compliance obligations

remain uneven and highly context-specific.

- **APAC:** Standards vary widely across the region. China distinguishes between high-risk “important data” AI applications and lower-risk uses, requiring security assessments and government approval. Japan and Singapore emphasize contextual evaluation of model risk and reidentification potential. South Korea separates pseudonymized and anonymized data in its AI guidance, while regional bodies like the Asia Pacific Privacy Authorities (APPA) are beginning to harmonize principles and best practices.

Takeaway: AI governance cannot rely on a one-size-fits-all model. Multinationals must map regional rules, anticipate differences in enforcement expectations, and implement oversight systems that adapt to local context.

Rising enforcement pressures

Regulators worldwide are actively targeting insufficient AI governance. Key areas of concern include:

- **Transparency and explainability:** Organizations must demonstrate that outputs can be interpreted and justified to regulators, consumers, and stakeholders.
- **Bias and discrimination:** AI systems are under scrutiny for

disparate impacts, particularly in hiring, lending, and law enforcement applications.

- **Misrepresentation (“AI-washing”):** Exaggerated or misleading claims about AI capabilities expose companies to enforcement actions and reputational harm.

High-profile cases in the EU, UK, and US show that half-measures or generic compliance frameworks are increasingly insufficient. Regulators expect comprehensive, documented, and demonstrable approaches to risk management, governance, and model monitoring.

AI as a strategic enabler under compliance constraints

Despite regulatory complexity, effective AI governance remains central to innovation. Properly structured systems allow organizations to:

- Deploy AI across borders while managing compliance risk.
- Integrate AI into operations and research responsibly.
- Demonstrate accountability to investors, customers, and regulators.

However, advances in model sophistication, external data availability, and analytics capabilities have raised the bar for compliance. Organizations are increasingly adopting synthetic data,

privacy-enhancing technologies (PETs), federated learning, and other techniques to balance utility with accountability and legal obligations.

Sector-specific relevance and compliance use cases

AI governance challenges vary across industries:

- **Healthcare/Pharma:** Algorithmic decision-making for diagnostics or drug discovery requires careful controls to avoid bias and protect patient safety.
- **Financial Services:** AI-driven credit scoring, fraud detection,

and risk modeling must comply with consumer protection, data privacy, and anti-discrimination rules.

- **Technology & Media:** Behavioral analytics, recommendation engines, and generative AI tools require robust oversight to prevent bias, content risks, and misleading claims.

In each case, demonstrating strong, context-specific governance reduces regulatory risk and unlocks opportunities for innovation.

Looking Ahead

Organizations must treat AI compliance as a dynamic, ongoing process, integrating governance into strategy and operations. Key steps include:

1. **Regularly reassess AI systems:** Test models against evolving laws, guidance, and emerging enforcement trends.
2. **Implement strong governance frameworks:** Maintain documentation, conduct risk assessments, and schedule periodic audits.
3. **Adopt privacy-enhancing tools:** Explore synthetic data, federated learning, and other technical measures to mitigate risk.
4. **Train staff and partners:** Ensure clear understanding of compliance obligations and distinctions between risk mitigation approaches.
5. **Monitor enforcement trends:** Track global developments and be precise in reporting and disclosures to avoid regulatory penalties.

AI is a transformative tool, but in today's fragmented regulatory environment, it is also a compliance imperative. Organizations that integrate governance into the design, deployment, and monitoring of AI systems will be best positioned to innovate safely and responsibly.





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